

1) What brokers provided the best performance

Brokers E and D provided the best performance. Broker E had the highest Value Add at -124.95 bp and the best z-score of -1.295. This represents a better performance compared to the average of -129.357 value add and -1.429 z-score.

Broker D also outperformed the average with a value-add of 124.95 and a z-score of -1.2945

2) What brokers underperformed expectations

Brokers whose Value-Add and Z-Score are more negative than the all-broker averages (-129.36 bp and -1.429, respectively) are considered underperformers, as their actual execution costs exceeded what the market impact model predicted.

Broker B was the worst performer overall, posting a Value-Add of -133.24 bp and a Z-Score of -1.554 — the most negative figures across all brokers and well below the portfolio average. This indicates Broker B's execution costs were substantially higher than expected given the size and risk of the orders they handled.

Broker C was the second weakest performer, with a Value-Add of -132.13 bp and a Z-Score of -1.446, both below the all-broker average, suggesting consistent but less severe underperformance.

Broker A also underperformed expectations, with a Value-Add of -130.66 bp and a Z-Score of -1.482. While closer to the average than Brokers B and C, Broker A still exceeded expected costs on a risk-adjusted basis.